

Here is a fun interview with [William Bernstein](#) on factor tilts. We are big proponents of smart beta and factor tilts applied to a portfolio. Indeed, it is very difficult to beat a portfolio allocated one-third each to a) global equities with a value and momentum tilt, b) bonds, and c) managed futures or a similar trend strategy. We didn't want to dive too deep into smart beta strategies in this book since we have covered them so extensively in the past.

What about tactical approaches to asset allocation?

We firmly believe there are a number of strategies that work well in tactically managing a portfolio. Our 2007 paper, "[A Quantitative Approach to Tactical Asset Allocation](#)," lays out very simple momentum and trend-following strategies.

What about factors in sector or country rotation strategies?

There is evidence that these strategies can work as well. Our "[Relative Strength Strategies for Investing](#)" paper outlines a very simple sector rotation methodology based on momentum and trends. Our [Global Value](#) book looks at rotating countries based on value.

Figure 46 is a graph that looks at country stock rotation strategies based on various metrics. Note: You want the countries with the highest yield, worst trailing currency returns, and worst trailing GDP growth!!

FIGURE 46 – Rotation Strategies in Developed Markets

